This document has legal consequences.
If you do not understand it, consult your attorney.
The text of this form may not be altered in any manner
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Form # 2135fha 07/26

FHA LOAN PROVISION RIDER

Note: In order to facilitate loan approval, Buyer should have the appraisal process completed by the Loan Contingency Date.

SALE CONTRACT DATE: _____

PROPERTY: _____

BY AND BETWEEN: _____, Buyer(s) and the undersigned Seller(s).

FHA CERTIFICATION OF CONTRACT

We the undersigned, the Seller(s), the Purchaser(s), and the Broker(s) involved in the transaction, each certify that the terms of the contract for purchase are true to the best of our knowledge and belief and that any other agreement entered into by any of these parties in connection with this transaction is attached to the sales agreement.

BUYER'S BROKER OR LICENSEE SIGNATURE DATE	LISTING BROKER OR LICENSEE SIGNATURE DATE
Buyer's Broker or Licensee Printed Name	Listing Broker or Licensee Printed Name

By acceptance of this contract, Seller makes no implied or express promise that he/she will be responsible for or pay for any predication work required by FHA. If predication work is required by FHA and within ten (10) days from date of receipt by both parties of the conditional commitment (appraisal), no written agreement is reached as to who will complete and pay for the predication work, this contract shall be terminated with earnest money to be returned to Buyer, subject to paragraph 12 of the Sale Contract. (Note: Buyer is cautioned not to rely on the FHA appraisal report, but should satisfy themself as to the condition of the property.)

AMENDATORY CLAUSE: It is expressly agreed that notwithstanding any other provisions of this contract, the purchaser shall not be obligated to complete the purchase of the property described herein or to incur any penalty by forfeiture of earnest money deposits or otherwise unless the purchaser has been given, in accordance with HUD/FHA requirements, a written statement by the Federal Housing Commissioner or a direct endorsement lender setting forth the appraised value of the property of not less than $_____. The purchaser shall have the privilege and option of proceeding with consummation of the contract without regard to the amount of the appraised valuation. The appraised valuation is arrived at to determine the maximum mortgage the Department of Housing and Urban Development will insure. HUD does not warrant the value nor the condition of the property. The purchaser should satisfy themself that the price and condition of the property are acceptable. **NOTE: Changes to the sale price require a revised amendatory clause.**

FHA DOES NOT WARRANT THE VALUE OR THE CONDITION OF A HOME:

While FHA requires the lender to have an appraiser determine the value of the property, it is an estimate only and is used to determine the amount of mortgage FHA will insure and if the condition of the property makes it eligible for FHA mortgage insurance. It is not, however, a guarantee that the property is free of defects.

As the Purchaser, YOU should carefully examine the property or have it inspected by a qualified home inspection company to make sure that the condition is acceptable to you. You should do this before you sign the sales contract or make the contract contingent on the inspection. If repairs are needed, you may negotiate with the owner about having the faults corrected. There is no requirement that you hire an inspector. I/We (Buyer) have carefully read this notice and fully understand that FHA will not perform a home inspection nor guarantee the price or condition of the property we are purchasing.

___☐___ I/We (Buyer) choose to have a home inspection performed.

___☐___ I/We (Buyer) do not choose to have a home inspection performed (This is not a waiver of Buyer's rights in accordance with the Sale Contract.)

PAYMENT FOR FHA INSPECTIONS:

☐ Buyer ☐ Seller agrees to order and pay for all inspections and/or re-inspections required by FHA including, but not limited to, termite, roofing, plumbing, electrical or heating and air conditioning.

BUYER SIGNATURE DATE	SELLER SIGNATURE DATE
Buyer Printed Name	Seller Printed Name
BUYER SIGNATURE DATE	SELLER SIGNATURE DATE
Buyer Printed Name	Seller Printed Name